

Aztec vs zkSync

Institutional L2 Comparison Report

Using the Institutional Comparison Framework v1.1

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Protocols: Aztec Network (AZTEC) vs zkSync (ZK)
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Institutional-Grade Crypto Analysis

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Table of Contents

1.	TL;DR — Executive Verdict	3
2.	Executive Summary by Persona	4
3.	Scoring Matrix (Framework v1.1)	5
4.	Dimension-by-Dimension Comparison	6
	4.1 Team & Execution	6
	4.2 Technology & Security	7
	4.3 Tokenomics & Incentives	8
	4.4 Adoption, Liquidity & Ecosystem	9
	4.5 Governance, Decentralization & Risk	10
5.	Temporal Adjustment Layer (S■ vs S*)	11
6.	Allocator Playbook	12
7.	Final Synthesis & Verdict	13
8.	Appendix — Sources & Methodology	14

1. TL;DR — Executive Verdict

Winner by Use Case:

- **For live DeFi / builders today → zkSync wins (current state)**

zkSync has real TVL (~\$500M+), active apps, CEX listings and production usage; Aztec's Ignition chain is live but effectively in "infrastructure boot" mode with consensus + validators running and almost no user-facing activity yet.

- **For long-horizon, privacy-first structural exposure → Aztec wins (structural)**

Aztec is a programmable privacy rollup with custom Aztec VM + Noir DSL, launched as a fully decentralized L2 (500+ validators, no admin keys, ownership renounced) and explicit focus on compliant privacy. Execution layer and ecosystem are early; audits are still missing.

Governance & Upgrade Risk:

Edge to Aztec. Aztec: day-1 decentralized validator set, no upgrade admin keys, community-only governance for first 12 months (team/investors barred). zkSync: Stage-0 rollup with a single sequencer and an Emergency Upgrade Board that can push instant upgrades and already used that power after a sequencer VM bug in May 2025.

Tokenomics:

zkSync more community-tilted; Aztec more utility-driven but more concentrated. zkSync: 21B max supply, ~66.7% to community (incl. 17.5% airdrop, big ecosystem fund); no clear fee-share yet. Aztec: strong token utility (staking, fees, governance), but ~48% to team + investors, Foundation can reclaim unsold tokens, and governance may enable up to 20% annual inflation.

Who Should NOT Use Which (Right Now):

Protocol	Do NOT Use If...
Aztec	You need mature DeFi, stable tooling, and deep liquidity today — the chain is brand new; Bankless notes it's live but "nobody can use it yet."
zkSync	You're allergic to admin keys and emergency upgrade boards: governance + sequencer decentralization are Stage-0 with real "god-mode" risk.

2. Executive Summary by Persona

This comparison applies the Institutional Comparison Framework v1.1 to evaluate Aztec Network and zkSync across five weighted dimensions. The analysis distinguishes between current-state scores (**S■**) reflecting today's usability and adoption, and structural scores (**S***) projecting long-horizon positioning assuming successful execution.

zkSync commands a clear lead for near-term practical usage: it has hundreds of millions in TVL, active DeFi protocols, DEX and perps volume, and established CEX integrations. Aztec's Ignition chain launched in November 2025 as a fully decentralized L2 with 500+ validators, but its application layer remains in bootstrap mode with minimal user-facing activity.

Structurally, Aztec holds advantages in governance architecture (no admin keys, renounced ownership, community-only governance for 12 months) and native programmable privacy — a scarce and differentiated property in the L2 landscape. zkSync's Stage-0 designation, single sequencer, and Emergency Upgrade Board with instant-upgrade powers represent meaningful structural risks that discount its long-horizon score.

Persona Decision Matrix:

Persona / Use Case	Key Priorities	Winner	Why
DeFi user / builder now	Live apps, liquidity, tooling, CEX on/off-ramps	zkSync	Mature zkEVM, working DeFi stack, TVL and volume today; Aztec infra just booted.
Privacy-maxi / long-horizon infra bet	Encrypted state, credible decentralization, roadmap	Aztec	Native programmable privacy + fully decentralized validator set from day one.
Institutional / risk-sensitive allocator	Upgrade risk, governance capture, regulatory vector	Neither for full size; mild edge Aztec	Aztec has cleaner key structure but big audit + regulatory unknowns. zkSync has stronger adoption but strong admin-key risks.

3. Scoring Matrix (Framework v1.1)

Dimensions collapsed from the original perp-DEX framework into 5 L2-appropriate pillars, scored 1–5 and weighted (core vs contextual). Scale: 1 = significantly inferior, 3 = par, 5 = best-in-class.

Core Comparison Matrix (S■ = Current State Scores):

Dimension	Weight	Aztec	zkSync	Notes
Team & Execution	15%	4	4	Both have elite ZK/infra teams and strong VC backing. Aztec: PLONK co-creator; zkSync: shipped Era, Atlas.
Technology & Security Model	25%	4	4	Aztec: novel privacy VM but no audits. zkSync: high-throughput zkEVM with at least one emergency incident.
Tokenomics & Incentives	15%	3	4	Aztec: strong utility but ~48% insiders + inflation risk. zkSync: 66.7% community, capped supply.
Adoption, Liquidity & Ecosystem	20%	2	4	Aztec: just launched, validators live but no dApps. zkSync: ~\$500M TVL, active DEX/perps.
Governance, Decentralization & Risk	25%	3	2	Aztec: no admin keys, 500+ validators. zkSync: Stage-0, emergency upgrade board.

Weighted Composite Scores:

Metric	Aztec	zkSync
S■ (Current State, 1-5 scale)	~3.2 / 5	~3.5 / 5
S* (Structural, long-horizon)	~3.5 / 5	~3.1 / 5

Interpretation: If you re-weight heavily toward long-horizon structural factors (tech + governance, discounting current adoption per the Temporal Adjustment Layer), Aztec's structural S* creeps slightly ahead of zkSync's: zkSync's Stage-0 + god-mode council are structural handicaps, while Aztec's main negatives (empty ecosystem, auction noise) are more transient.

4. Dimension-by-Dimension Comparison

4.1 Team & Execution — Tie (4/5 vs 4/5)

Verdict: Tie. Both teams are well-funded and proven shippers with some scars.

Aztec:

- Founded by PLONK co-creator Zac Williamson with deep ZK pedigree
- Backed by Paradigm, a16z; ~\$119M raised
- Shipped Aztec Connect (~94k users, ~\$20M TVL) before pivoting to general-purpose privacy rollup
- Ran large adversarial testnet (~1,000 sequencers)

zkSync:

- Built by Matter Labs (founded 2018, CEO Alex Gluchowski)
- 50+ staff; ~\$458M raised from tier-1 funds (a16z, Dragonfly, Coinbase Ventures, Binance)
- Shipped zkSync Lite then zkSync Era — first zkEVM on mainnet
- Large-scale airdrop, governance system, and Atlas upgrade

What would flip the verdict: Major execution failure (prolonged outage, exploit) or key team departures at either project.

4.2 Technology & Security — Draw on Paper (4/5 vs 4/5)

Verdict: Both are strong and innovative but "not yet fully battle-hardened" — Aztec due to missing audits, zkSync due to real-world incidents.

Aztec:

- Privacy-first zkRollup with custom Aztec VM combining private UTXO state with public smart contracts
- Noir DSL abstracts ZK complexity for devs
- Inherits Ethereum security with on-chain PLONK verifier; rollup contract ownership renounced
- **Gap:** No publicly disclosed third-party audits for new protocol and Noir circuits

zkSync:

- General-purpose zkEVM L2 with custom prover stack (Boojum/Airbender)
- ~15k TPS and ~1s finality post-Atlas; Ethereum provides DA + settlement
- Some components audited but no exhaustive audit set covering all circuits/bridges
- **Incident:** May 2025 — sequencer VM bug caused unprovable batch; emergency upgrade required

What would flip the verdict: Clean comprehensive audits for Aztec would pull it ahead; another major incident at zkSync would widen the gap.

4.3 Tokenomics & Incentives — Winner: zkSync (3/5 vs 4/5)

Verdict: zkSync wins on headline fairness and community tilt — more than double the community allocation vs Aztec.

Aztec (AZTEC):

- **Utility:** Staking for sequencer/validator security, governance, future L2 gas
- **Supply:** 10.35B genesis; ~27.3% investors, ~21.1% core team, ~11.7% Foundation
- **Concerns:** High insider concentration (~48%), Foundation can reclaim unsold auction tokens, up to 20% annual inflation post-year-one
- No airdrop + KYC via ZKPassport sparked community pushback

zkSync (ZK):

- **Utility:** Primarily governance over protocol + ecosystem funding; usable as gas via AA
- **Supply:** 21B max supply; ~66.7% to community (incl. 17.5% airdrop to ~695k addresses)
- ~33.3% to team + investors with 1-year cliff then ~3-year vest
- **Concerns:** No explicit fee-share or value capture beyond governance; upcoming unlocks

What would flip the verdict: zkSync implementing clear fee-share/burn mechanics; Aztec reducing insider concentration or capping inflation.

4.4 Adoption, Liquidity & Ecosystem — Clear Winner: zkSync (2/5 vs 4/5)

Verdict: If you care about the next 6–12 months of actual DeFi usage, zkSync is the only realistic choice between the two.

Aztec:

- Ignition chain launched November 2025 — marketed as first fully decentralized L2
- >500 validators with 200k AZTEC min stake per validator
- At launch: mostly running consensus + staking; public app layer not broadly usable
- Bankless explicitly notes "nobody can use it yet" in practice
- Liquidity from December CCA and Uniswap v4 pool — early and thin by design

zkSync:

- ~\$500M TVL according to L2BEAT with live DeFi stack
- Active DEX and perps volume (hundreds of millions weekly)
- Tens of millions of transactions monthly
- DAU and TVL retraced post-airdrop but still clearly dominates on usage, integrations, liquidity

What would flip the verdict: Aztec execution layer going live with real TVL and dApp activity; major zkSync outage or liquidity migration.

4.5 Governance, Decentralization & Risk — Winner (Structurally): Aztec (3/5 vs 2/5)

Verdict: Today, zkSync is usable *because it is centralized*; Aztec is harder to use *because it is aggressively decentralized at launch*.

Aztec:

- Rollup contract ownership renounced — no single team multisig can unilaterally upgrade or seize funds
- Permissionless PoS validator set with >500 validators at launch
- Slashing + community-only governance for first 12 months (team/Foundation/investors barred)
- **Risks:** No third-party audits for ZK circuits; token concentration could enable capture post-lockup; regulatory overhang on privacy protocols

zkSync:

- Governance via ZK Nation: Token Assembly, Security Council, Guardians, Foundation
- Emergency Upgrade Board can bypass normal timelocks and instantly upgrade contracts
- Can deploy arbitrary logic including in theory logic that steals funds or changes escape routes
- L2BEAT categorizes zkSync Era as Stage-0: centralized sequencer, no trustless exit without cooperation
- May 2025 incident demonstrated this is not hypothetical — emergency upgrade was required

What would flip the verdict: zkSync implementing credible sequencer/prover decentralization and reducing emergency powers; Aztec suffering governance capture post-12-month lockup.

5. Temporal Adjustment Layer: S■ vs S*

The Temporal Adjustment Layer distinguishes between fast-decaying signals (adoption metrics, token price, narrative sentiment) and slow-changing structural factors (architecture, governance model, key management). This separation is critical for institutional decision-making.

Score Comparison by Time Horizon:

Time Horizon	Leader	Aztec	zkSync	Key Drivers
S■ (Current State) 6-12 months	zkSync	~3.2	~3.5	zkSync has live TVL, DEX/perps volume, dev tooling. Aztec in bootstrap mode.
S* (Structural) Multi-year	Aztec (slight)	~3.5	~3.1	Aztec: real decentralization, no admin keys, native privacy. zkSync: Stage-0, god-mode council.

Transient vs Structural Factors:

Factor Type	Aztec	zkSync
Transient (fast-decay)	Empty ecosystem, auction volatility, no live dApps	Post-airdrop DAU decline, incentive-driven TVL
Structural (slow-change)	No admin keys, decentralized validators, native privacy, audit gap	Stage-0 architecture, emergency upgrade board, single sequencer

6. Allocator Playbook

Not financial advice — the following represents how the framework points the steering wheel, not recommendations.

For DeFi Protocols / Builders:

- **zkSync first** — if you need to deploy in the next quarter with real users and liquidity
- **Aztec on watchlist** — until execution environment, tooling, and users materialize
- Monitor Aztec's execution layer rollout for potential early-mover advantage in privacy DeFi

For Long-Only Crypto Funds:

- **Small zkSync position** as high-beta zkEVM bet — only if comfortable with governance risk
- **Small, option-style Aztec exposure** sized around audit/governance milestones and regulatory news
- Think of Aztec as a levered bet on privacy-L2s working; position accordingly

For Institutional / Risk-Sensitive Allocators:

- **Neither for full size** — both carry structural risks that argue against concentrated positions
- Mild structural edge to Aztec for governance cleanliness, but audit + regulatory unknowns are material
- Wait for: zkSync decentralization progress OR Aztec audit completion before meaningful sizing

What Would Flip These Verdicts:

Protocol	Bull Flip Catalysts
Aztec	Clean third-party audits, live execution layer with real TVL/users, clear post-12-month governance guardrails, no severe regulatory action
zkSync	Credible and implemented sequencer/prover decentralization, greatly reduced emergency powers, full audit transparency, sustained organic usage growth vs other L2s

7. Final Synthesis & Verdict

zkSync and Aztec represent two distinct bets on Ethereum's Layer 2 future. zkSync is the pragmatic choice for builders and users who need a working zkEVM today — it has the TVL, the tooling, and the integrations. Aztec is the structural play for those willing to wait on execution and navigate regulatory uncertainty in exchange for native programmable privacy and genuinely decentralized governance from day one.

Neither protocol is ready for full-size institutional allocation. zkSync's Stage-0 status and emergency upgrade board create meaningful "god-mode" risk that conflicts with trust-minimization mandates. Aztec's missing audits and nascent ecosystem create execution risk that conflicts with near-term deployment needs.

Final Stance:

S■ (Today): zkSync leads — live, usable, integrated

S* (Structural): Aztec leads slightly — decentralized, no admin keys, privacy-native

Net: Context-dependent; use persona matrix for decision

What Increases Conviction:

- For Aztec: Clean audits, real TVL/users, clear governance guardrails, regulatory clarity
- For zkSync: Sequencer decentralization, reduced emergency powers, sustained organic growth

What Decreases Conviction:

- For Aztec: Audit failures, governance capture, regulatory action, prolonged empty ecosystem
- For zkSync: Another emergency incident, governance capture, liquidity migration to competitors

8. Appendix — Sources & Methodology

Data Sources:

Source	Usage
L2BEAT	Risk analysis, TVL data, Stage classification for zkSync
DeFi Llama	TVL and volume metrics for zkSync ecosystem
Bankless	Aztec launch coverage and ecosystem status
CoinDesk	Aztec Network news and token launch details
ZK Nation Forum	zkSync governance updates and incident reports
Aztec Network Docs	Protocol architecture, tokenomics, governance design
Binance Support	Exchange integration and operational updates
XT.com / BingX / WEEX	Token listing and market data

Methodology Transparency:

This analysis applies the Institutional Comparison Framework v1.1, which evaluates Layer 2 protocols across five weighted dimensions: Team & Execution (15%), Technology & Security Model (25%), Tokenomics & Incentives (15%), Adoption, Liquidity & Ecosystem (20%), and Governance, Decentralization & Risk (25%).

Scores use a 1-5 scale where 1 = significantly inferior, 3 = par with market expectations, and 5 = best-in-class. The framework distinguishes between current-state scores (S■) and structural scores (S*) to separate transient market conditions from long-horizon fundamentals.

Evidence is tagged by tier: T1 = verified from official sources/on-chain data; T2 = reputable secondary sources; Inference = logical conclusions from facts; Unknown = explicitly undisclosed or unverified.

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